

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 14-16

BALTIC AUTO SHIPPING, INC.,

Complainant,

— vs. —

**MICHAEL HITRINOV
a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC.,**

Respondents.

**APPENDIX TO COMPLAINANT’S MOTION TO STRIKE RESPONDENTS’
UNAUTHORIZED SUR-REPLY, MADE WITHOUT LEAVE OF THE PRESIDING
OFFICER OR THE COMMISSION, AND/OR FOR LEAVE TO INTERPOSE A
RESPONSE TO SAME**

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| APPENDIX “1” | Emails from Jon Werner, Esq. to complainants' counsel dated April 21, 2016 and April 25, 2016. |
| APPENDIX “2” | Letter from Jon Werner, Esq. to the Court, dated June 15, 2016 in the matter of <i>Empire United Lines Co., Inc. et al. v. Baltic Auto Shipping, Inc. et al.</i> U.S.D.C. – D.N.J., 15 Civ. 355 (CCC) (MF) |

APPENDIX “1”

Marcus A. Nussbaum

From: Jon Werner <jwerner@lyons-flood.com>
Sent: Monday, April 25, 2016 7:41 PM
To: 'Gerry Doyle'; marcus.nussbaum@gmail.com
Cc: 'Dennis M. Cavanaugh'; 'Cristina M. Pedreira'
Subject: RE: Settlement of FMC 14-16
Attachments: Mutual General Release and Settlement Agreement.doc

Mr. Nussbaum,

Enclosed for your review please find a draft of the mutual general release and settlement agreement.

Regards,

Jon Werner
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55 Broadway, Suite 1501
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From: Jon Werner [mailto:jwerner@lyons-flood.com]
Sent: Thursday, April 21, 2016 8:24 PM
To: 'Gerry Doyle'; 'marcus.nussbaum@gmail.com'
Cc: 'Dennis M. Cavanaugh'; 'Cristina M. Pedreira'
Subject: RE: Settlement of FMC 14-16

Mr. Nussbaum,

I await your response to Mr. Doyle in due course, and remind you that **per the terms of the settlement finalized today**, the parties must advise the Federal Maritime Commission within two business days, i.e. by Monday, April 25, 2016 that the parties are in the process of finalizing a global settlement and wish for the Commission to stay all activity in Docket 14-16 pending consummation of the settlement which is expected to occur within the next 60 days.

Per Judge Cavanaugh's directive to me after you left, I will be preparing an initial draft of the settlement agreement and mutual general release and will provide same tomorrow for review and comments.

Regards,

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APPENDIX “2”



Attorneys At Law

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June 15, 2016

VIA CM/ECF

The Honorable Mark Falk
United States Magistrate Judge
United States District Court
District of New Jersey
50 Walnut Street
Newark, NJ 07102

Re: *Empire United Lines Co., Inc. et al. v. Baltic Auto Shipping, Inc. et al.*
U.S.D.C. – D.N.J., 15 Civ. 355 (CCC) (MF)
Our File No.: 2697002

Dear Magistrate Judge Falk,

As you know, I represent the plaintiffs in this case and write to very briefly respond to the letter filed today by Mr. Nussbaum (Docket Entry 71) in which he contends that defendants never consented or agreed to provide plaintiffs with an ink signed copy of the settlement agreement.

When counsel participated in the telephone conference conducted before Your Honor on June 10, the undersigned explained that this was one of the remaining items to be completed in order for the parties' settlement to be consummated (along with a final payment due on June 20 and execution of a non-binding Russian translation of the settlement agreement to be provided at plaintiffs' expense in order to avoid any future claims of confusion about what the parties agreed to when settling this matter).

During that telephone conference Mr. Nussbaum objected to his clients' execution of a Russian language translation of the settlement agreement but voiced no objection to providing the ink signed copy of the settlement agreement. Moreover, during the telephone conference Your Honor indicated that any remaining issues regarding finalization of the settlement between the parties would be resolved by Judge Cavanaugh, who has been appointed pursuant to Federal Rule of Civil Procedure 53 to serve as a Special Master in this matter with costs to be split equally between the parties (see Docket Entry 62).

Yesterday Judge Cavanaugh directed Mr. Nussbaum to supply the undersigned with the original ink signed copy of the settlement agreement as contemplated on the basis that it was a reasonable request. See copy of Judge Cavanaugh's email order attached. Instead of complying with this order, Mr. Nussbaum disregarded this Court's delegation of authority to Judge Cavanaugh, filed a letter directed to Your Honor, and sent the undersigned the attached email in

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which he advised that defendants took the view that Judge Cavanaugh's authority in this matter was completed, and that defendants were refusing to share in the costs or expenses relating to Judge Cavanaugh's involvement in this matter. (As the undersigned had mentioned during the June 10 telephone conference the defendants still owe approximately \$5,000.00 to Judge Cavanaugh as their share for the services he provided in this case).

There is no reasonable or rational basis upon which defendants could object to providing plaintiffs with an ink signed copy of the settlement agreement, since as Judge Cavanaugh already ruled, it is a reasonable request. The fact that Mr. Nussbaum is so vigorously resisting this very simple and reasonable request suggests that defendants may not have validly executed the settlement agreement, or at least are planning to contest the validity of their signatures in the future. It should be recalled that this case had its origin in defendants' breach of the 2011 settlement agreement between the parties.

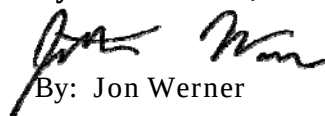
It also needs to be pointed out that the last time that Mr. Nussbaum represented to this Court that he possessed the ink original of a document and the Court compelled him to make that document available for inspection, Mr. Nussbaum failed to do so and subsequently claimed that he had somehow "lost" the ink original. See Docket Entry 53.

In addition to whatever plans the defendants may have to contest the legitimacy of the settlement agreement down the road, this latest maneuver by Mr. Nussbaum appears to be an attempt to enable his clients to avoid their obligation to pay for their share of the costs of the Special Master in this case. This would not be the first time that defendants have sought to avoid their payment obligations in this case. **Shortly after the settlement agreement was reached,** Mr. Nussbaum concocted a phony claim that the plaintiffs had violated a confidentiality provision in an attempt to avoid defendants' obligation to make the initial payment under the settlement agreement. See attached May 11, 2016 letter from Mr. Nussbaum. After Judge Cavanaugh ordered defendants to make the initial settlement payment as agreed Mr. Nussbaum quickly abandoned this claim.

Plaintiffs' respectfully request that the Court compel defendants to provide the ink signed original copy of the settlement agreement as already ordered by Judge Cavanaugh.

Respectfully yours,

Lyons & Flood, LLP



By: Jon Werner

Encls.

VIA EMAIL

cc: The Honorable Dennis M. Cavanaugh (Ret.)
Special Master
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